

leverage the power of open source technology. Open source technology is already powering the back-end infrastructures of many banking and financial organisations across the globe. It is time for Indian banks to empower themselves with open source at the front-end as well. Speaking on the condition of anonymity, a CTO of one of the largest banks in India said, "This is a very interesting situation for us. We can either continue being on the Windows platform by upgrading to a newer version or can try anything from the open source world. The fact is that we are already experimenting with some open source alternatives. The migration process is clearly not as easy as one might think because we operate on a daily basis and cannot shut our functions for anything. But, we have got ample time to switch over to other platforms, and we have the opportunity of trying out some open source alternatives."

Explaining the status of his organisation, Kersi Tavadia, CIO, BSE, said, "We are gradually moving away from Windows in all possible ways. We do have machines running on Windows XP, but the end of life of XP is not a major concern for us as we already have plans in place. We are evaluating open source operating systems like Ubuntu to be used on our desktops."

Why open source?

To this question, the simplest answer is "Why not open source?" Open source technology has made it to the most 'unexpected' places. The New York Stock Exchange is perhaps one such place. The NYSE runs Red Hat Enterprise Linux on its trading platform. Another example of the successful deployment of Linux in the financial sector is that of state-owned Industrial and Commercial Bank of China. The bank has migrated all its 20,000 retail branches to Linux. Being the largest bank in China, the organisation committed to getting 'an unrestricted user licence' as part of a full-blown integration of Linux 'throughout its entire banking operations network', which was completed in 2008. This was one of the largest Linux deployments in China. Linux was used as the basis for the bank's Web server and a new terminal platform.

According to a study by Cignex, clients that deployed open source technology saved an average of 93 per cent on costs in the first year alone. Underscoring the benefits

Banks that already run Linux

• The Industrial and Commercial Bank of China

The state-owned Industrial and Commercial Bank of China has shifted to Linux across all its 20,000 retail branches. The largest bank in China is committed to 'an unrestricted user licence' as part of a full-blown integration of Linux 'throughout its entire banking operations network'. This is possibly one of the largest deployments of Linux, to date, in the Chinese financial sector. Essentially, Linux became "the basis for its Web server and a new terminal platform" at the bank.

• Union Bank of California

In January 2007, the bank announced that it would standardise its IT infrastructure on Red Hat Enterprise Linux in order to lower costs.

• Banco do Brasil

Banco do Brasil of Brazil, the biggest bank in that country, has moved nearly all desktops to Linux, except for a few that need to operate some specific hardware. The bank began migrating its servers to Linux in 2002. Branch servers and ATMs all run Linux. The distribution of choice is OpenSUSE 11.2.

(Source: Wikipedia)

of open source technology in the BFSI sector, Venkatesh Swaminathan, country head, SUSE, said, "Modern day organisations cannot ignore the power of open source technology. Linux is being majorly used in the enterprise space. The flexibility and cost benefits that open source technology provides are immense. For sectors like banking and finance, it is advisable for companies not to be bound by a proprietary technology. If they are on open source, they have the liberty to modify and innovate their technology as and when they feel the need to do so."

So, banks clearly have no choice but to migrate from Windows XP now. Sans support, the technology can leave users extremely vulnerable. On the other hand, open source technology is a clear option for the 34,000 bank branches to migrate to, if they want control of their technology, in an affordable way. 

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